

CITY COUNCIL MINUTES

September 8, 2009

The Cadillac City Council met in a special meeting on Tuesday, September 8, 2009, at 6:00 p.m. in the Council Chambers of the Municipal Complex, 200 N. Lake Street, Cadillac, Michigan.

COUNCIL PRESENT: Dean (left at 10:25 p.m.), Dyer, Spoelman, Stevens, Mayor Barnett

COUNCIL ABSENT: None

Staff Present: Garland, Figliomeni, Adams, Dietlin, Benson

Mayor Barnett called the special meeting of the Cadillac City Council to order at 6:00 p.m.

Stan Fawcett, 10200 E. 34 Rd, Cadillac, gave a handout to council members, asking that it be included in the meeting.

APPROVAL OF AGENDA

2009.213 Agenda approved as amended

Motion was made by Dyer and supported by Dean to include the handout in the council meeting and approve the agenda as amended.

Motion unanimously approved.

PUBLIC COMMENTS

Steve King, attorney representing Stan Fawcett, said Fawcett will extend the option on his land for 60 days.

Stan Fawcett told council that he would like the city to have an appraisal on all 3 parcels that are on the list for extending the well field option (Fawcett, Lutz and Putvin).

Paul Liabenow, Superintendent of Cadillac Area Public Schools, urged support of the Great Start Readiness Program.

PUBLIC HEARINGS

Jerry Adams, Community Development Coordinator, gave a presentation on the request from Mercy Hospital to encroach upon rights-of-way owned by the city for the construction of a pedestrian crossing, on-street parking improvements and landscaping, to improve pedestrian movement between the main hospital and the McAuley Center. Jerry explained that it would improve traffic flow, allow for additional parking and make pedestrian crossing safer.

At 6:20 p.m., Mayor Barnett opened a public hearing to consider the approval of Ordinance No. 2009-13 which would permit the City of Cadillac to enter into an agreement with

Mercy Hospital to encroach upon rights-of-way owned by the city. Corey Christensen Executive Director of Services at Mercy Hospital cited the lack of parking at the front entrance of the hospital and that they have received complaints from the public. He said that the hospital would gain 33 parking spaces if approved. The public hearing closed at 6:24 p.m.

2009.214 Ordinance No. 2009-13 adopted, Mercy Hospital encroachment

Motion was made by Dean and supported by Dyer to adopt Ordinance No. 2009-13 to permit an encroachment agreement between the city and Mercy Hospital.

Motion unanimously approved

COMMUNICATIONS

Sheila Hill, 2926 S. 41 Rd., Cadillac, asked council to approve a resolution in support of the CAPS Great Start Readiness Program, saying that the Senate Appropriations Committee has recommended the elimination of the funding. She said that the early childhood education programs are proven to provide benefits exceeding the costs. Wexford County Commissioners approved a similar resolution at their September 2, 2009 meeting.

2009.215 Support of Great Start Readiness Programs approved, Resolution No. 1889

Motion was made by Dyer and supported by Stevens to approve a resolution in support of funding for the Great Start Readiness Programs.

Motion unanimously approved.

CITY MANAGER'S REPORT

Interim City Manager Precia Garland described the agreement for acceptance and treatment of landfill leachate into the Cadillac wastewater system from Wexford County Landfill saying the new agreement would be in effect from July 1, 2009 to June 30, 2011. She said that there were limited changes to the agreement. Mayor Barnett asked if the city is getting a reduction in cost. He was told that a reduced rate is based on pre-treatment. Dyer asked if the new rates are sustainable. He was told yes and that the rates are based on a sliding scale.

2009.216 2009 leachate agreement approved

Motion was made by Spoelman and supported by Dyer to approve the 2009 agreement for acceptance and treatment of landfill leachate into the Cadillac wastewater system from Wexford County landfill, miscellaneous file no. 842.

Motion unanimously approved.

2009.217 Street closure approved for Child Safety Expo

Motion was made by Stevens and supported by Spoelman to approve the closing of Lake Street between W. Pine and W. Harris Streets from 2:00 p.m. to 8:00 p.m. on September 11, 2009 for the annual Child Safety Expo.

Motion unanimously approved.

A draft of the proposed city managers employment agreement was presented to council. A salary of \$90,000 was offered in the agreement and several points in the agreement were left to the council to determine. After much discussion, it was decided to offer Marcus Peccia \$8,000 for moving expenses and \$900 per month housing transition expense in-lieu-of deferred compensation, for a maximum of 12 months, which will end sooner if he sells his Chicago house

in less than 12 months. After the Chicago home sale or end of the housing transition payments, the city will contribute 2% for deferred compensation. Council also required that Peccia drive the city-leased car until the lease runs out in February 2010 then he will receive \$350 per month auto allowance. The Mayor expressed concern over the auto allowance. Details of comments made are on file in the city clerk's office.

2009.218 City manager contract approved

Motion was made by Dyer and supported by Dean to offer the employment agreement to Marcus Peccia as discussed, for the position of city manager of the City of Cadillac, miscellaneous file no. 843.

Ayes: Dean, Dyer, Spoelman, Stevens

Nays: Barnett

Motion carried.

Mayor Barnett said he has a conflict with the recommendation regarding test production well bids for the Blakely property because it is next to property he owns. Council member Dean said he does not see any conflict. It was agreed that Council member Stevens has a conflict with voting on bids because of his lawsuit against the city regarding the purchase of the Blakely property.

2009.219 Stevens recused from voting on bids for test well production on Blakely property

Motion was made by Dyer and supported by Dean to recuse Council member Stevens from voting on test well production bids on the Blakely property because he has a conflict of interest.

Ayes: Spoelman, Dyer, Dean, Mayor Barnett

Nays: None

Abstained: Stevens

Council member Stevens left the council chambers.

City Attorney Mike Figliomeni said that he was comfortable with the request by the Mayor to be recused from voting on the bid issue also.

2009.220 Mayor Barnett recused from voting on bids for test well production on Blakely property

Motion was made by Dyer and supported by Dean to recuse Mayor Barnett from voting on test well production bids on the Blakely property because he has a conflict of interest.

Ayes: Spoelman, Dyer, Dean

Nays: None

Abstained: Mayor Barnett

Absent: Stevens (left meeting after being recused)

Mayor Barnett left the council chambers. Mayor Pro Tem Dean resumed the meeting.

Interim City Manager Precia Garland reviewed the bids for test well drilling and said the awarding is related to the lawsuit over the purchase of the Blakely property. She said a hearing was held earlier that afternoon in Wexford County Circuit Court regarding the amended complaint for a preliminary injunction. She said the judge ruled against the injunction and that

Mr. Fawcett will not be added to the lawsuit as a plaintiff because as he does not have standing. The judge allowed the addition of Mr. Blakely as a defendant in the lawsuit. Dyer said the need is to get field work done to qualify for DWRF loans. Garland said the preliminary application is due by February 2010. Dyer asked for clarification of the need for the bid. Garland explained that the DWRF is not a grant, it is a loan to be repaid with interest of 2.5%. If the city does not make the October 15 data collection deadline for all new wells then it will be required to complete two separate applications (2010 and 2011 for 2011 and 2012 funding) or one complete application in 2011 for 2012 funding. Spoelman asked how long it takes to get the lab data for the application. Utilities Director Jeff Deitlin said after the test production well is installed, which requires approximately three weeks, lab data is generally available in two weeks or it can be expedited in two days. He explained that the test wells must be drilled on property already tested for quality and quantity. Spoelman said it would be in the best interest to “put our ducks in a row” to be ready for drilling after September 28 when the judge makes his ruling as to whether Stevens has no standing or if the case will go to trial.

2009.221 Test well drilling bid awarded

Motion was made by Dyer and supported by Spoelman to award the bid for test well drilling to Ed Birkmeier Well Drilling LTD of New Lothrop, Michigan for \$96,463.00.

Ayes: Spoelman, Dyer, Dean

Nays: None

Absent: Stevens, Mayor Barnett (both left council chambers after being recused)

Motion carried

2009.222 Mayor Barnett and Council Member Stevens brought back to meeting

Motion was made by Dyer and supported by Spoelman to bring the Mayor and Council member Stevens back to the meeting.

Ayes: Spoelman, Dyer, Dean

Nays: None

Absent: Stevens, Mayor Barnett (both left council chambers after being recused)

Motion carried

Interim City Manager Precia Garland gave a presentation regarding well field property options, field data collection and the DWRF application. Garland talked about whether council wanted to extend the options to acquire land on the Joynt, Fawcett and Boersma properties. She also reported that Calvin Lutz, who owns property previously optioned by the city for the wellfield project, verbally said he will drop his purchase price to less than the Fawcett property. She said the city has received approval from the State of Michigan for testing on the Fawcett and Boersma properties. She said that the DWRF funding could be delayed for a year if data is not completed by October 1. If the data is completed by October 1, construction could begin in 2011. She said an immediate decision must be made. She pointed out that the DWRF applications are competitive and if the application does not score high enough, the city would have to resubmit.

Attorney Steve King, representing Stan Fawcett, approached council and said that Mr. Fawcett will extend his option for 60 days. He also said that the Blakely property does not qualify for DWRF funds and the Joynt property does not qualify for DWRF funds either. King questioned whether the city has followed the guidelines for the DWRF application. King said that Mr. Fawcett had agreed to let the city drill on his property in 2006 for free. City Attorney Figliomeni asked if this was an unconditional offer from Fawcett. King said it was. Dyer feels the city needs to do a “confidence check” on staff and legal counsel due to the assertions from Steve King that council has been misled.

2009.223 Extension of option on Fawcett approved

Motion was made by Stevens and supported by Spoelman to extend the option of Stan Fawcett's property for 60 days at no cost to the city and to amend the purchase amount from \$50,000 to \$45,000.

Ayes: Spoelman, Stevens, Dean, Mayor Barnett

Nays: Dyer

Motion carried

Dyer reiterated that he would like a reassessment check on city staff and city legal counsel. He said that there has been no rebuttal from staff on the accusations that the city is not following the proper procedures to secure wellfield properties or utilize DWRF funds. Spoelman said that the best source for information is from our consultants Fishbeck, Thompson, Carr and Huber (FTCH). Dean disagreed. Stevens said it is not political and that the city needs to send a message that the law is followed.

2009.224 Informational presentation on process of securing well head properties requested

Motion was made by Dyer and supported by Barnett for an informational presentation, at the next regularly scheduled council meeting to be held on September 21, 2009, regarding the process of securing well head properties.

Ayes: Spoelman, Dyer, Stevens, Mayor Barnett

Nays: Dean

Motion carried

Council discussed the expenditure of money for test wells on other properties. Spoelman said why keep spending money needlessly when we already have test wells in. Stevens said that if we don't put more test wells in, someday we will have to justify why we didn't.

2009.225 Expenditure for test wells on Boersma and Fawcett properties denied

Motion was made by Stevens and supported by Barnett to spend \$20,888 for a complete test well on the Boersma property and \$12,500 for a partial test well on the Fawcett property plus an additional \$8,388 if a core sample is needed.

Ayes: Stevens, Mayor Barnett

Nays: Spoelman, Dyer, Dean

Motion denied

Interim City Manager Garland said that she will bring back the hydrology consultant to discuss other options.

PUBLIC APPEARANCES

Cal Caldwell, 1809 Sunnyside Drive, spoke to council regarding curbside recycling, the city manager's contract and using the current city wells. He also praised the newly redone Mitchell Street.

Josh Johnson, 5845 Evergreen Drive, gave folders to council containing a letter regarding building inspection and pictures of a rental house he owns.

At 10:25 p.m. Council member Dean left the meeting.

GOOD OF THE ORDER

Interim City Manager Garland reminded council of the September 21st, 5:15 p.m., work session regarding goal setting for fiscal year 2010/2011.

Council member Dyer urged citizens to file to run for one of the council seats up for election. He said the deadline to file was Friday, September 11 at 5:00 p.m.

ADJOURNMENT

As there was no further business to come before the City Council, the meeting was adjourned at 10:29 p.m.

Respectfully submitted,

William S. Barnett, Mayor

Christine L. Benson, Deputy City Clerk

Janice E. Nelson, City Clerk